

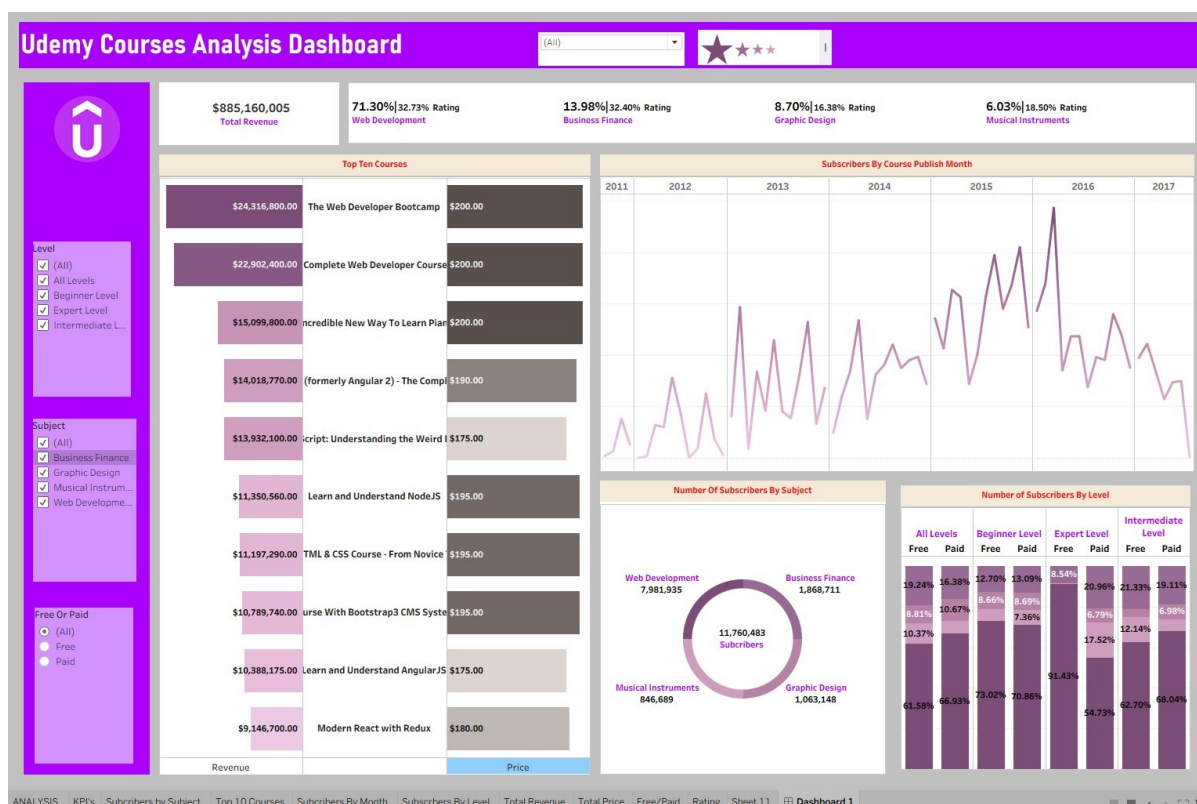
Udemy Courses Analysis Report

Insights, Root Cause Analysis & Recommendations

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Overview

I looked through 3,676 Udemy courses across four subjects (Web Development, Business Finance, Graphic Design and Musical Instruments) to answer one question: where do the learners and the money go, and what would I tell someone planning a new course? Below is what I found, a deeper look at one gap that stood out, and what I would recommend.



The interactive Tableau dashboard behind this report.

Key Findings

- Web Development is the engine.** It is 32.7% of the courses but earns 71.3% of the estimated revenue (\$631M of \$885M) and attracts 67.9% of all subscribers. Business Finance has almost the same number of courses (32.4%) and earns just 14.0%.

Subject	Courses	Share of courses	Share of est. revenue	Median subscribers per course
Web Development	1,203	32.7%	71.3%	2,430
Business Finance	1,191	32.4%	14.0%	486
Graphic Design	602	16.4%	8.7%	386
Musical Instruments	680	18.5%	6.0%	138

- **A few hits carry the platform.** The top 10 courses make 16.2% of all revenue (\$143M), and the top 10% of courses make 77.8%. The typical course is small: the median has 913 subscribers while the average is 3,199. Nine of the top 10 are Web Development, and all of them are priced between \$175 and \$200.
- **Higher-priced courses sold more, not less.** Courses priced \$151 to \$200 are about 14% of paid courses but bring in about 61% of paid revenue, with 5,677 subscribers on average compared with 1,532 for courses priced \$1 to \$25. These courses are also longer, so price is not the only thing at work.
- **Longer courses draw more learners.** Courses of 10 hours or more have a median of 2,051 subscribers, about three times the 665 for courses of one hour or less.
- **Free courses are the front door.** The 311 free courses (8.5% of all courses) brought in 30.5% of all subscribers, averaging 11,532 each against 2,429 for paid courses. Four of the six courses with over 100,000 subscribers are free.
- **Beginners and all-levels courses carry the business.** All Levels (49.7%) and Beginner (38.7%) courses make 88.4% of the revenue. Expert courses are only 58 courses and 1.0% of revenue.
- **A good rating score does not predict popularity.** Rating score and subscriber count are almost unrelated (correlation 0.02), while review counts and subscribers move together strongly (0.78), which most likely means popular courses simply collect more reviews. Musical Instruments stands out with the lowest rating scores (average 0.31 against 0.64 to 0.73 elsewhere) and 69% of its courses have fewer than 500 subscribers.

About the Data

A few things to keep in mind when reading the numbers:

- **Revenue is an estimate.** It is list price multiplied by subscribers. It ignores discounts, refunds and Udemy's share, so real earnings would be lower.
- **It is a snapshot of 2011 to 2017.** Courses run up to early July 2017, so the findings describe that period and not Udemy today. Courses published in 2015 and 2016 make 66.9% of the revenue, but 2017 only covers about half a year and newer courses have had less time to collect subscribers, so that drop is not proof that demand is falling.
- **Subscribers are cumulative.** The dataset has the course publish date, not the date each person subscribed, so the monthly chart shows subscribers by the month the course was published.
- **Four course IDs appear twice** (8 rows, 0.39% of revenue). The figures here match the dashboard, and the conclusions are unchanged either way.
- **These are patterns, not proof of cause.** For example, long courses cost more and sell more, and the data cannot say which drives which.

Root Cause Analysis: Why Does Business Finance Earn So Much Less Than Web Development?

The gap between these two subjects stood out the most, because they have almost the same number of courses and yet one earns five times more per course. Rating score does not explain it (Business Finance scores 0.69, Web Development 0.64) and price barely does either, so I used the 5 Whys method to dig for the real cause.

1. Why does the average Business Finance course earn so much less?

A: Because the typical course attracts far fewer learners. The median Business Finance course has 486 subscribers against 2,430 for Web Development, and about half of Business Finance courses stay under 500 subscribers compared with under 10% in Web Development.

2. Why do they attract fewer learners each?

A: Because the audience is much smaller but is shared across about the same number of courses. Business Finance has 1.87M subscribers in total against 7.98M for Web Development, which is under a quarter, while each has roughly 1,200 courses.

3. Why does price not make up for it?

A: Because prices are similar. The average Business Finance course costs \$69 against \$77 for Web Development, and 18% of its courses are priced at \$150 or more against 20%. The gap is in volume, not price.

4. Why do so many Business Finance courses stay small?

A: In this data they are shorter (3.6 hours against 5.6 on average), have fewer lectures (32 against 53) and collect far fewer reviews (64 against 357 on average). Reviews and subscribers move together strongly, so low social proof is consistent with a course that struggles to be noticed, although the data cannot show which causes which.

5. Why is there such a mismatch between courses and learners?

A: Because supply grew to match Web Development without the same level of demand behind it. This last step is my inference, since the dataset has no search or demand data, so it is a hypothesis worth testing rather than a proven fact.

So, the root cause is not weak quality or the wrong price. It is a crowded market. Business Finance has about as many courses as Web Development, but they are competing for less than a quarter of the learners. The winners in Business Finance confirm this. The top three (The Complete Financial Analyst Course 2017, Beginner to Pro in Excel: Financial Modeling and Valuation, and Black Algo Trading) are all long, career-focused courses priced at \$195 to \$200.

Recommendations

If I were advising a course creator or Udemy's content team, this is what I would suggest:

- **Plan around Web Development first.** A typical Web Development course gets five times the subscribers of a typical Business Finance course, so it is the safest place to launch unless the creator has real expertise in another subject.
- **Build one comprehensive flagship course instead of several short ones.** Courses of 10 hours or more and a \$150 to \$200 list price dominate the revenue. Test this price tier on long, career-focused courses.
- **Use a free beginner course as a front door.** Free courses average almost five times the subscribers of paid ones. The data cannot show how many of those learners go on to buy, so I would track conversion from free to paid before relying on it.
- **Aim at Beginner and All Levels learners.** They make 88% of revenue, while Expert courses make 1%, so Expert courses only make sense for a clear niche.
- **Do not enter Business Finance with a generic course.** If a creator does, copy what works there: a long, practical, career-skill course such as financial analysis or Excel modelling.

- **Treat Musical Instruments as a niche with one proven hit.** Pianoforall alone earns \$15.1M, which is 28% of the whole subject. A creator should study what it does well, because the subject's typical course (median 138 subscribers) is very small.

Closing Note

Overall, the platform is hit-driven. A small number of long, higher-priced, beginner friendly Web Development courses create most of the value, and free courses bring in a large share of learners. For a new creator the upside is not in publishing many small courses. It is in picking a subject with real demand and building one strong flagship course, with a free course in front of it to bring learners in.